
AWS Organizations – Overview

What is AWS Organizations?

AWS Organizations is a service that allows you to centrally manage and govern multiple AWS accounts. It enables **consolidated billing**, **policy-based management**, and **automated account creation** within a group (called an **Organization**).

Core Concepts

Component	Description
Organization	A group of AWS accounts that you manage together.
Management Account	The root account that creates the organization and manages other accounts.
Member Account	An AWS account invited or created to join the organization.
Organizational Unit (OU)	Logical group of accounts, similar to folders in a file system. You can nest OUs.
Service Control Policies (SCPs)	Policies that define maximum available permissions for accounts in OUs.

Key Features

1.  **Consolidated Billing**
 - One bill for all linked accounts.

- Volume discounts applied across accounts.
- Centralized payment management.

2. **Service Control Policies (SCPs)**

- Define **permission boundaries**.
- SCPs don't grant permissions; they limit what **IAM policies** can allow.
- Applied at **OU** or **account** level.

3. **Organizational Units (OUs)**

- Organize accounts by **function, environment, or department**.
- Apply SCPs at OU level for easy governance.

4. **Account Management**

- Create new AWS accounts programmatically.
- Invite existing accounts into your org.
- Central control over account permissions and billing.

5. **Tag Policies (optional)**

- Enforce tagging rules across accounts to maintain resource consistency.

Use Case	How AWS Organizations Helps
Enterprise Account Structure	Manage prod, dev, test accounts separately using OUs
Centralized Security	Apply SCPs to restrict actions globally (e.g., deny deleting CloudTrail)
Cost Tracking & Billing	Use consolidated billing and AWS Cost Explorer to monitor spending by account
Compliance & Governance	Enforce tagging policies and guardrails at scale
Account Automation	Use APIs or AWS Control Tower to provision new accounts securely

Important Points to Remember

- SCPs only affect **member accounts** — the **management account is exempt**.
 - SCPs are **not IAM policies** — they don't grant access, only limit it.
 - SCPs must allow an action in **both** the SCP and IAM policy for it to be permitted.
 - You can nest OUs up to **5 levels deep**.
 - AWS recommends **separating workloads into multiple accounts** for isolation and security.
-

Example: SCP to Deny S3 Deletion

```
{
  "Version": "2012-10-17",
```

```
"Statement": [  
  {  
    "Sid": "DenyS3Delete",  
    "Effect": "Deny",  
    "Action": "s3:DeleteBucket",  
    "Resource": "*"   
  }  
]
```

Summary

Benefit	Impact
Central governance	Consistent policies and control
Billing optimization	Lower cost with volume pricing
Improved security	Enforced least privilege with SCPs
Better organization	Clear environment separation
